



Guidance Document for Terms and Conditions for Advisory and Tax Services

This Guidance Document sets out certain changes to the Terms and Conditions for Advisory and Tax Services (“**Terms and Conditions**”) that an Engagement Partner has discretion to make without consulting OGC and without obtaining leadership approvals (“**Permitted Changes**”).

All other proposed changes to the Terms and Conditions (*i.e.*, changes that are not Permitted Changes) require consultation with OGC. Some matters may also need to be escalated to Risk and/or Management. However, where the engagement is valued at less than **\$20,000**, only Permitted Changes are allowed, and other changes will not be entertained. For Management Consulting (MC) engagements, this threshold is **\$100,000**; MC engagement teams looking for exemptions should consult with Lou Velocci, COO, before submitting changes for engagements under \$100,000 to OGC.

All requests for OGC assistance must be made through OGC on Demand, available on the OGC website.

Making Permitted Changes. Where supplemental or modified language is provided for in this Guidance Document, the change is permitted only if employed exactly as provided. Otherwise, it must be submitted to OGC. Permitted changes to the Terms and Conditions are reflected in this Guidance Document as follows:

Additions are shown as underlined text.

Deletions are shown as ~~striketrough~~ text.

Where entire clauses are permitted to be deleted, the Engagement Partner can do this in one of two ways:

1. In the body of the Engagement Letter. Example using sections 16 and 17 as deleted clauses:

“This engagement is subject to KPMG’s Terms and Conditions for Advisory and Tax Services attached as Appendix A and incorporated herein by reference. Sections 16 and 17 of the Terms and Conditions for Advisory and Tax Services shall not apply to this engagement.”

2. Alternatively, by making the deletion in the Terms and Conditions themselves, by replacing the text of the deleted section with the words “[Intentionally Deleted].” Using section 17 as an example:

17. [Intentionally Deleted.]

Do not delete the section numbers themselves, as this may interfere with cross-referencing throughout the document.

Reusing Modified Terms and Conditions. Modified Terms and Conditions cannot be reused for subsequent engagements unless they are recurring engagements with the exact same scope. If this is not the case, the Engagement Partner must: (1) compare (redline) the modified Terms and Conditions against the firm’s standard Terms and Conditions to identify all deviations; (2) conduct a risk assessment to determine if the deviations (including changes to liability caps, indemnities, and release or reliance on deliverables) are appropriate for the new engagement; and (3) obtain any required leadership approvals in the context of the new engagement.

For more information, consult the Quality and Risk Management Manual (Policy [9.5](#)) and the guidance document entitled “Components of Engagement Contracts” (<https://www.qgrmm-prod.kworld.kpmg.com/CA/13/Content/81?jm=222-tools-54>). The QRMM contains helpful guidance with respect to the client engagement process and certain material aspects of these Terms and Conditions.

THIS DOCUMENT IS PRIVILEGED AND CONFIDENTIAL AND CANNOT BE SHARED OUTSIDE OF KPMG CANADA.



Permitted Changes

Section 1 (Definitions).

The inclusion of a list of defined terms was an important aspect of streamlining the Terms and Conditions and minimizing duplicative language. Changes to definitions should be strongly resisted due to the impact such changes could have on multiple sections. All changes to definitions must be rejected (preferred), or submitted to OGC for review.

“Affiliate” (in relation to portfolio companies): Section 4(d) of the Terms and Conditions allows the Client to share KPMG work product on a non-reliance basis with Affiliates of Client who need to know in order to facilitate Client’s use of the Deliverables, subject to certain conditions. If the engagement team is concerned about private equity clients sharing our work product with portfolio companies, they can add the following language to the end of the “Affiliate” definition:

“Affiliate” means any legal entity that, directly or indirectly, controls, is controlled by, or is under common control with, the applicable entity, where “control” means ownership of more than fifty percent of the outstanding voting equity interests. For purposes of Section 4(d), “Affiliates” of Client shall not include portfolio companies.

Section 2 (Services).

Section 2(b) gives KPMG the flexibility to engage subcontractors (including other Member Firms, KPMG offshore resources and third parties) as it sees fit to assist KPMG in the performance of the Services. A veto or consent right of the Client may impair our ability to deliver to requirements, time or fee quote. However, the Client and Engagement Partner may agree to a consent right for Client over subcontractors, as follows.

If you want to retain blanket permission to engage Member Firms, add the following language immediately after Section 2(b) (without deleting Section 2(b)):

Notwithstanding the foregoing, KPMG will not engage subcontractors other than Member Firms to perform the Services without the prior written consent of Client, which consent shall not be unreasonably withheld.

OR

If the Client consent right is over all subcontractors (including Member Firms), add the following language immediately after Section 2(b) (without deleting Section 2(b)):

Notwithstanding the foregoing, KPMG will not engage subcontractors to perform the Services without the prior written consent of Client, which consent shall not be unreasonably withheld.

If one or more subcontractors are known at the outset of the engagement, the Engagement Partner can include, following the applicable statement above:

Client hereby consents to the use of the following subcontractors: [LIST KNOWN SUBCONTRACTORS]

If, alternatively, the Engagement Partner wishes to address the consent right in the body of the Engagement Letter itself, the consent right should be introduced using the following language:

Notwithstanding section 2(b) of the Terms and Conditions for Advisory and Tax Services, KPMG will not engage subcontractors...

Note: This consent right is for subcontractors *actively engaged in the performance of the Services*. It is not intended to cover KPMG Resources providing back-office/support services and who are not directly engaged in the provision of the Services, where it would be impractical to seek consent (see Section 5).

Section 2(f) replaces the “Sarbanes-Oxley Act” and “National Instrument 52-109” clauses from KPMG’s former set of Terms and Conditions. This section is important where the Client is, or may become, a publicly traded audit client. Even if not applicable at the time the Engagement Letter is signed, the firm’s preference is to retain this clause in case circumstances change during the



engagement or prior to or during subsequent engagements where the modified Terms and Conditions are reused. However, if the Client insists on removing it, and the Client is neither a publicly traded audit client nor publicly traded audit client target, it can be deleted.

Section 5 (Confidentiality).

As part of KPMG's business operations and client service delivery, certain client confidential information may be shared with third parties and/or processed, accessed, hosted or stored outside of Canada for a variety of purposes, including:

- the use of subcontractors for Service delivery;
- responding to legal or regulatory requests or demands;
- support services (back-office/infrastructure/technology) provided by other KPMG member firms, offshore resources and other third-party providers;
- the use of cloud-based solutions, including Sentinel, IBS and Salesforce;
- compliance with professional standards and obligations, including quality assurance and risk management (e.g., QPR), assessing conflicts of interest, *etc.*; and
- to inform and improve the development and delivery of our professional services and business operations, and to enable the firm to utilize AI-enabled technologies.

The Engagement Partner should strongly discourage any requested changes to Section 5. KPMG cannot scale back its legal and professional obligations or change how the Canadian firm, the KPMG network or our third-party providers, operate. Therefore, these provisions should generally be considered non-negotiable. Except as set out below, any requested changes must be reviewed by OGC.

Section 5(b) captures subcontractors who will be actively involved in the performance of the Services (*i.e.*, not back-office/infrastructure providers), whether affiliates, other member firms, offshore resources or other third parties. If clients negotiate the right to approve the use of such subcontractors in the engagement, and the Engagement Partner is amenable, this should be addressed in **Section 2(b)** as provided above.

Section 5(c)(iii) permits each party to disclose Confidential Information of the other party in response to a Legal Demand. Clients may wish to impose a notice obligation so that they can try to seek a protective order, which can be accommodated using the following language only:

(iii) in the case of a Legal Demand, provided that the receiving party will exercise commercially reasonable efforts to afford the Confidential Information all available confidentiality protections and, unless prohibited by law or such Legal Demand, provide prompt written notice of the Legal Demand to the other party in order to permit it to seek a protective order. The party subject to the Legal Demand shall be entitled to comply with such Legal Demand, subject to any protective order or the like that may have been entered in the matter.

Section 6 (Privacy).

If the Client proposes changes to this Section or tries to impose its own Privacy schedule, but no Personal Information (PI) will be used in the performance of the Services, **Sections 6(a) and (b)** can be deleted and replaced with the following:

Each of Client and KPMG agrees not to provide to or collect from the other party any Personal Information in the course of performing the Services under this engagement. In the event that any Personal Information is inadvertently disclosed to or collected by a party hereto, the party receiving such Personal Information shall promptly advise the other party and immediately delete such Personal Information received.

Note that Personal Information would include any information relating to an identified or identifiable natural person. An identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental,

economic, cultural or social identity of that natural person. Examples of personal information / personal data include, but are not limited to, financial information, health information, home address and home telephone number, employment history, educational background, criminal record, marital status, race, sexual orientation, religion, and political affiliation. However, Personal information does not include business contact information such as an employee's name, title, business address, telephone number or email addresses that is collected, used or disclosed solely for the purpose of communicating with that person in relation to their employment or profession.

Any other changes to Section 6 must be reviewed by OGC.

Section 7 (Fees).

The second sentence of **Section 7(a)** deals with KPMG's technology and support surcharge. Please refer to the KPMG Communication from Benjie Thomas dated July 22, 2024 for rationale and speaking points. BUL approval is required if the Engagement Partner wishes to waive the technology and support charge for a particular engagement. Where this is approved, the Engagement Partner may delete the second sentence of **Section 7(a)**.

The time for payment of invoices (last sentence of **Section 7(a)**) may be amended by the Engagement Partner without consultation, up to a maximum of 30 days, by making the following change:

Accounts are due ~~when rendered~~ within 30 days after receipt.

Section 7(b) allows the firm to recover costs if KPMG is required to attend or assist in a proceeding involving the Client (where KPMG is not a party). The firm relies heavily on this clause; while not recommended, it may be deleted by the Engagement Partner with BUL approval.

Section 7(c): If there is no completion fee contemplated for the particular engagement, then the Engagement Partner may delete **Section 7(c)**.

Local Billing. If your engagement will involve local billing of Client or Client entities by other Member Firms who are engaged to perform services under an MFE, add the following language as a new Section 7(d):

To the extent another Member Firm is engaged by KPMG to assist KPMG in providing the Services, Client may receive bills from such Member Firm for such services.

Section 8 (Limitation on Liability).

The limitation on liability (LOL) clause is one of the critical risk mitigating clauses in KPMG's engagements. It limits the client's right to seek recourse against KPMG for losses resulting from an alleged failure to fulfill our obligations under the Engagement Letter by placing a ceiling (or "cap") on the amount that may be claimed against KPMG.

The objective of the LOL clause is to ensure that KPMG's financial risk is not excessive in relation to the fees being earned on the engagement. It also reflects the client's role in making management decisions in implementing the results of our services. In other words, an LOL clause supports the notion that both sides should be taking on an appropriate and proportionate amount of business risk.

Section 8(a) sets out KPMG's standard liability cap, which amounts to fees paid under the engagement. The liability cap does not apply where the Client's losses are finally determined to have resulted from KPMG's fraud or wilful misconduct (gross or intentional fault in the Québec version of the Terms and Conditions). Also in the Québec version, in accordance with Québec law, the liability cap does not apply where the fault giving rise to the liability was committed by a member of the *Ordre des comptables professionnels agréés du Québec* in the practice of their profession.

Clients often request changes to the LOL, ranging from removing the LOL entirely, to increasing the amount of KPMG's cap, to providing for exceptions or "carve outs" for situations where KPMG's cap will



not apply (or will be increased). The Engagement Partner should carefully consider any requested changes to this Section, including: (i) the nature of the services to be performed under the contract; (ii) the precedent that will be set for future engagements with the same client; and (iii) non-standard operational requirements imposed by the contract and expected to be managed by the engagement team that could increase the likelihood of breach, such as detailed information security requirements, PII/privacy requirements, personnel screening/onboarding procedures, compliance with client policies, etc.

Firm leadership has approved certain LOL increases that an Engagement Partner can agree to, provided the language provided below is *employed precisely*. Any alternative wording or formulations (including any floors, ceilings, tiers, super-caps or exceptions/carve-outs) must be reviewed by OGC and may be subject to leadership approvals.

Permitted Liability Cap Changes. Engagement Partners may, without consultation or approval, increase KPMG's liability cap under an engagement up to a maximum of three (3) times fees paid under the Engagement Letter, provided the computed cap (i.e., fees x multiple) is less than \$1,000,000. Increasing the multiple can be accomplished by revising Section 8(a) as follows (using 2x fees as an example):

- a. KPMG shall not be liable to Client for any Claims in any way arising out of, or in any way relating to, the performance of the Services, including without limitation the termination thereof, for an aggregate amount that is more than two (2) times the fees paid to KPMG under this Agreement (...).

Anything beyond or greater than this requires leadership approvals, as set out below.

Escalation for Tax Engagements: BUL and/or CMP approvals as set out in the TRM-10 guidance.

Escalation for Advisory Engagements: BUL consultation and approval is required where:

- (i) the proposed multiple is 4x-5x fees; or
- (ii) the computed cap would exceed \$1M (up to a maximum of \$10M).

For Management Consulting engagements, the engagement partner may consult their BUL or the MC Chief Operating Officer.

National Leader consultation and approval is required where:

- (i) the proposed multiple exceeds 5x fees; or
- (ii) the computed cap would exceed \$10M.

The above guardrails apply whether the liability cap is structured as a basic/standard liability cap only, or a combination of basic/standard cap and super-cap.

Liability Caps for Multi-Phase or Subscription-Based Services/Engagement Letters: In these cases, it may be appropriate to structure the liability cap as being based on fees paid over a period of time. OGC consultation and drafting support is required.

Negotiation tip: Strongly resist requests for additional LOL carve-outs (unlimited liability) as these will very likely be rejected. Common areas of concern for clients are confidentiality breach, security breach, privacy breach and gross negligence. An alternative, if appropriate for the engagement, may be to incorporate a super-cap for one or more of the foregoing areas. A super-cap is a higher/elevated liability cap for serious types of breaches (super-caps are not appropriate for ordinary negligence or breach of contract generally). For example, if the engagement involves sensitive confidential information and the client's concerns with Section 8(a) are focused on this area, consider negotiating a 1xfee basic/standard cap, and a multiple of fees (super-cap) that is only applicable to confidentiality breach. Note that market terms for super-caps are 3x-5x fees; when negotiating a super-cap, partners

are expected to push the client to accept 3x or 4x fees before resorting to a 5x fee super-cap. Leadership approvals will be required (unless falling within the permitted computed caps set out above) and OGC drafting support is mandatory in relation to super-caps.

Section 8(b) protects KPMG from liability for consequential damages. These are indirect damages or losses that are unique to the circumstances of the particular client. For example, lost revenue suffered by the client as a result of KPMG not performing its duties. (By contrast, direct damages are losses which every client in a like situation will suffer; an example would be the cost of engaging another firm to complete the engagement.) The language is slightly different in the Québec version of the Terms and Conditions, since there is no equivalent in Québec law to the common law concept of “consequential or incidental damages”.

Section 8(b) should never be deleted as it is commercially unreasonable for a client to expect that KPMG should compensate a client for any loss other than direct damages sustained due to the fault of KPMG. However, it would be acceptable to make the clause mutual such that neither KPMG nor the client should be liable to each other for this type of damage, as follows:

Non-Québec version of the Terms and Conditions:

- b. ~~KPMG shall not be liable to Client~~ Neither party shall be liable to the other party for consequential, special, indirect, incidental, punitive or exemplary damages, or any loss of revenue or profit or other commercial or economic loss, even if advised of the possibility thereof.

Québec version of the Terms and Conditions:

- b. ~~KPMG shall not, in any event, be liable to Client~~ Neither party shall, in any event, be liable to the other party for loss of revenue or profit or other commercial or economic loss, even if advised of the possibility thereof.

Section 9 (Termination and Survival).

Section 9(b)(i) allows either party to terminate for convenience. The notice period (default is 30 days) may be adjusted as agreed between the Engagement Partner and the Client. If the engagement involves a significant upfront investment on the part of KPMG, including subcontracts that are not readily terminable, the engagement team may wish to extend this period.

Section 9(b)(ii) allows either party to terminate for breach. The notice/cure period (default is 10 days) may be adjusted as agreed between the Engagement Partner and the Client to a maximum of 30 days.

Section 11 (Conflicts of Interest).

This clause confirms that: (a) KPMG will seek the client's consent to act in a conflict, and (b) KPMG acting for business competitors, customers or suppliers of the Client does not, in and of itself, constitute a conflict of interest. Advance consent for competing bids has been preserved; however, if the Client objects to this and it is irrelevant to the engagement, the Engagement Partner may delete the following sentence only:

~~Notwithstanding the foregoing, KPMG may advise any other client making a competing bid or proposal to Client, whether or not KPMG is advising Client in respect of Client's bid or proposal.~~

Section 12 (Publicity and Use of Logo).

This clause allows KPMG to include the Client's name and logo in presentations and Deliverables to Client and for internal and external marketing purposes. If the Client objects, the Engagement Partner may delete (a), (b) and/or (c), as applicable, as well as the final sentence, provided that the Engagement Partner is responsible for ensuring the firm's awareness and compliance with any such restrictions (for example, not using the Client name or logo on deliverables and/or in internal presentations or blasts, and not listing the Client in KPMG's proposals or other marketing materials).

For example, if the Client objects to *all* uses, the following changes can be made:



Neither party shall acquire any right to use the name or logo (or any part thereof) of the other party in any manner or medium, except that Client gives KPMG a limited, revocable, non-exclusive, paid-up, royalty free right to use Client's name and logo as follows: (a) in presentations and reports to Client; (b) for internal KPMG presentations and intranet sites; and (c) upon the closing of a transaction (if applicable), KPMG may, at its expense, publicize its association with the transaction by way of public announcement in "tombstone" or similar format, subject to prior review of such public announcement with Client. KPMG may also reference Client's name as a customer in KPMG proposals and marketing materials, including KPMG websites and social media, indicating the general services rendered.

If the Client objects only to the *marketing* uses, the following changes can be made:

Neither party shall acquire any right to use the name or logo (or any part thereof) of the other party in any manner or medium, except that Client gives KPMG a limited, revocable, non-exclusive, paid-up, royalty free right to use Client's name and logo as follows: (a) in presentations and reports to Client; ~~(b) for internal KPMG presentations and intranet sites; and (c) upon the closing of a transaction (if applicable), KPMG may, at its expense, publicize its association with the transaction by way of public announcement in "tombstone" or similar format, subject to prior review of such public announcement with Client. KPMG may also reference Client's name as a customer in KPMG proposals and marketing materials, including KPMG websites and social media, indicating the general services rendered.~~

Under no circumstances should the introductory language be deleted. In addition, the right to use the Client's logo cannot be made reciprocal (*i.e.*, we cannot allow the Client to use the KPMG logo for any purpose).

Section 13 (Miscellaneous).

Section 13(d) (Successors and Assigns). If the Client objects to KPMG's ability to assign its interest in the Agreement to other parties as indicated in the third (last) sentence of this section, then this right can be made mutual by replacing the third (last) sentence with the following:

~~KPMG may assign its rights and obligations hereunder to any Affiliate or successor in interest to all or substantially all of the assets or business of the relevant KPMG practice, without the consent of Client. Either party may assign its rights and obligations hereunder to any Affiliate or successor in interest to all or substantially all of the assets or business of the relevant practice or division, as applicable, upon prior written notice to the other party. Where Client is the assignor, such assignment shall be conditional on and subject to satisfactory completion of KPMG's client acceptance procedures in relation to the proposed assignee.~~

Section 13(f) can be deleted if the Engagement Letter is signed by KPMG Corporate Finance Inc., KPMG Forensic Inc. or KPMG Inc.

Section 15 (Governing Law and Disputes).

The purpose of **Section 15(a)** is to establish which substantive laws will apply in any litigation between KPMG and the client arising out of the engagement (choice of law). In the Québec version of the Terms and Conditions, the default governing law is Québec law and should not be changed. For the rest of Canada, the governing law is determined with reference to the principal Canadian office performing the engagement. If the Client and Engagement Partner wish to specify the applicable Canadian province, they can do so by making the following changes:

- a. This Agreement shall be subject to and governed by the laws of the Province of **INSERT APPLICABLE PROVINCE** ~~in which KPMG's principal Canadian office performing the engagement is located~~ (without regard to such Province's rules on conflicts of law).

Section 15(b) is an Alternative Dispute Resolution (ADR) clause that provides for binding arbitration (rather than litigation) to resolve disputes. In using ADR, the parties avoid the delays and costs associated with the court system, and benefit from the flexibility and enhanced confidentiality available through the ADR process. If the Engagement Partner and the Client agree that disputes should be handled in court rather than through arbitration, the Engagement Partner may delete Section 15(b) and replace it with the following:

- b. All disputes arising hereunder or related hereto shall be subject to the exclusive jurisdiction of the courts of the Province of Canada in which KPMG's principal office performing this engagement is located.

Alternatively, a particular Canadian province can be specified, as follows:

- b. All disputes arising hereunder or related hereto shall be subject to the exclusive jurisdiction of the courts of the Province of [INSERT APPLICABLE PROVINCE].

Under no circumstances should the governing law or dispute forum be changed to a jurisdiction outside of Canada. If the team is using the Québec version of the Terms and Conditions, the courts of the Province of Québec is already specified and should not be changed.

Section 16 (Additional Terms for Tax Services).

Section 16 applies to both Canadian and US tax services. If Section 16 is not relevant for the engagement in question (*i.e.*, the engagement does not involve any tax services, Canadian or US), it may be deleted by the Engagement Partner.

Section 17 (Additional Terms for Due Diligence Services (Tax and Transaction Services)).

If Section 17 is not relevant for the engagement in question, it may be deleted by the Engagement Partner.

If Section 17 is relevant to the engagement in question, the term “Target” should be clearly defined in the Engagement Letter.

New Section: Additional Terms for System Implementation Services

Where KPMG is providing SI services, the following can be added to the end of the Terms and Conditions as a new Section:

The following provisions also apply where KPMG is engaged to perform Services related to the implementation or configuration of third-party systems or software supplied by Client (“**SI Services**”). “**System Configuration**” means such third-party systems or software as implemented or configured by KPMG. “**Specifications**” means the specifications for the System Configuration set forth in the Engagement Letter.

- a. [IF ACCEPTANCE TESTING HAS BEEN AGREED TO WITH THE CLIENT, PLEASE ADD THE FOLLOWING] Client shall accept or reject the System Configuration within ten (10) business days (or such other time period set forth in the Engagement Letter) after delivery (the “**Acceptance Period**”) in accordance with this paragraph. If the System Configuration does not materially conform to the Specifications, then Client shall provide KPMG with a written notice of rejection specifying the material non-conformities between the System Configuration and the applicable Specifications (“**Defects**”). KPMG shall, at no additional cost to Client, correct the Defects after which Client shall be entitled to repeat the acceptance process set forth herein (each a “**Work-out Period**”). If after three Work-Out Periods the System Configuration does not conform in all material respects with the applicable Specifications, then either party may terminate this Agreement in which event KPMG will promptly provide Client with a refund of any amounts paid by Client for the defective System Configuration and Client will promptly destroy all copies of the System Configuration within their possession or control and cease all use of the System Configuration. The System Configuration will be deemed accepted if the Client either fails to reject the System Configuration before the end of an Acceptance Period or uses the System Configuration in a production environment, whichever occurs first. To the extent any accepted System Configuration differs from the applicable Specifications, then such Specifications are hereby deemed modified to conform to the accepted System Configuration.
- b. [IF THE EL PROVIDES FOR A HYPERCARE PERIOD OR WARRANTY PERIOD, THE FOLLOWING PROVISION MAY NEED TO BE REVISED. PLEASE CONSULT OGC.] KPMG warrants to Client that for a period of thirty (30) days after the System Configuration has been delivered [and accepted in accordance with the preceding paragraph] [remove if no acceptance testing] (the “**Warranty Period**”), the System Configuration as delivered by KPMG will conform to its Specifications in all material respects. KPMG’s warranty under this paragraph shall not apply to the extent the non-conformity arises out of: (i) use of the System Configuration other than in accordance with applicable documentation or instructions provided by KPMG, (ii) any modification or other change to the System Configuration made by anyone other than KPMG, (iii) the combination of the System Configuration or any element thereof with materials not supplied or approved by KPMG, or (iv) the Client Materials. Any claim for breach of this warranty must be made in writing to KPMG within the Warranty Period. For any breach of this warranty, Client’s exclusive remedies, and KPMG’s entire liability, shall be, at KPMG’s option, (A) the repair of the System Configuration or (B) the refund to Client of the amount paid to KPMG for the System Configuration (in which case Client will promptly destroy all copies of the System Configuration within their possession or control and cease all use of the System Configuration). EXCEPT AS EXPRESSLY STATED IN THIS



SECTION, KPMG EXPRESSLY DISCLAIMS AND MAKES NO WARRANTIES OF ANY KIND OR NATURE WITH RESPECT TO THE SYSTEM CONFIGURATION, EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE OR USE OR THE APPROPRIATENESS OF CLIENT OR THIRD-PARTY SPECIFICATIONS.

- c. The parties acknowledge and agree that the occurrence of any of the following events (each, an **“Adjustment Event”**) may require an extension in the schedule, modification of the scope of the SI Services or increase in the fees and expenses set forth in the Engagement Letter: (i) a failure by Client and/or their vendors to perform any of their respective responsibilities in a timely manner, including the supply to KPMG of adequate resources and information; (ii) any inaccurate, incomplete or unrealized assumption in the Engagement Letter; or (iii) Client’s failure to timely obtain all of the consents, permits, licenses and other approvals necessary for KPMG to provide the SI Services. In the event an Adjustment Event occurs or the parties agree to change the scope of SI Services, the parties agree to amend the Engagement Letter to reflect such change. Notwithstanding the foregoing, if any delays or deficiencies in the SI Services, or with respect to the System Configuration or any other Deliverables, occur as a result of an Adjustment Event, the applicable scheduled completion date under the Engagement Letter shall be extended to the extent of any such delays or deficiencies, and KPMG shall not incur any liability to Client as a result of such delays or deficiencies and Client shall be responsible for the reasonable costs incurred by KPMG as a result of such delays or deficiencies.

New Section: Accessing Client Systems

Where KPMG will access and use a client supplied system or a third-party solution/SaaS that the client has licensed to perform our services, KPMG should not enter into any separate agreement with the client or the applicable third-party provider to the client for such access and use. All rights required by KPMG to access and use any client-supplied system should be granted by the client under the engagement letter, and it should be made clear that the client (and not KPMG) is responsible for any issues that arise from its use, including the inability of KPMG to perform the services if the client supplied system fails to operate correctly (or at all) or if a data breach involving the client supplied system results in loss or dissemination of the client information. In these situations, the Engagement Partner should include the following language, either in the Engagement Letter or as a new section added to the end of the Terms and Conditions:

It may be required by, or convenient to, Client for KPMG to access or use Client owned or licensed systems, software or services (collectively, “Client Systems”) in connection with KPMG’s provision of the Services or Deliverables. Client hereby grants, and hereby represents and warrants it has the right to grant, to KPMG and its personnel a limited, non-exclusive, non-transferable (except in connection with any permitted assignment of this Agreement), sublicensable, paid up and royalty-free license to access and use the Client Systems solely in relation to the provision of the Services or Deliverables. Client acknowledges and agrees that: (i) the foregoing license and the terms and conditions set out in this Agreement shall be the exclusive terms that apply to KPMG’s and its personnel’s access or use of the Client Systems and that any additional terms or conditions that KPMG or its personnel are presented for acceptance or acknowledgement as a condition to, or as part of, KPMG and its personnel’s access or use of the Client Systems shall not apply to KPMG or its personnel, notwithstanding any acknowledgement of acceptance by KPMG or its personnel, (ii) Client assumes all responsibility and liability in respect of the performance, security and risk associated with the use of the Client Systems or their unavailability, including, without limitation, delay in the provision of the Services or Deliverables or loss of or damage to, improper access to or disclosure of the Deliverables or other information that arise through the storage, processing and/or transmittal of such Deliverables or other information over the Client Systems, and (iii) Client will notify KPMG within 72 hours of Client becoming aware of the occurrence of any security breach or other incident (including the discovery of malware) in relation to the Client Systems that has or could reasonably be expected to impact KPMG’s systems used to connect to such Client Systems.

For further guidance, refer to REI 2023-018 (Accessing Client Systems).

Coming soon: AI Addendum

The AI Addendum will address when KPMG is providing training and/or testing services for models, as well as Proof Of Concepts (POCs). The AI Addendum will include some additional definitions, certain additional LOL language and will address bias where Client is providing KPMG with the data for use in conjunction with the Services.